

Information Sharing

Game instructions

THE SETUP

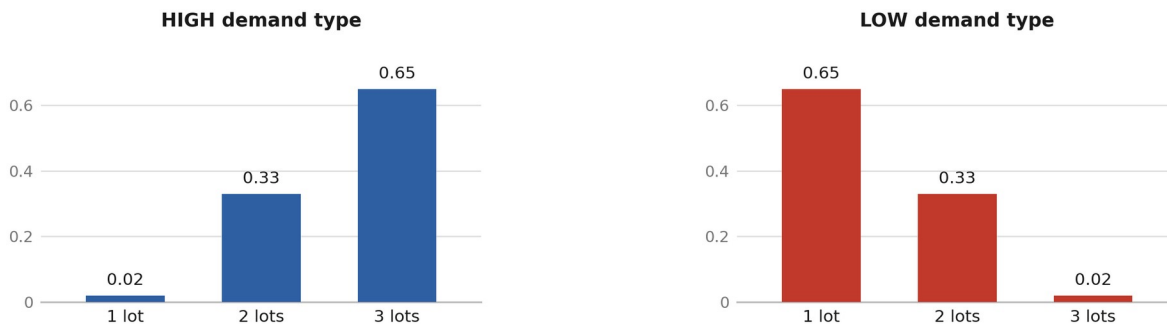
- You are paired with one other person. One of you is the RETAILER and the other is the SUPPLIER. You keep the same role and the same partner for every round.
- Each round, customers want 1, 2 or 3 lots of a product. Nobody knows the exact number in advance. What is known is the DEMAND TYPE for the round — HIGH or LOW — which tips the odds. Each type is equally likely, and a new one is drawn every round.

EACH ROUND

- The RETAILER is shown the true demand type. The SUPPLIER is not.
- The RETAILER reports a demand type to the SUPPLIER — HIGH or LOW. The report does not have to be true. Nothing in the game requires it or checks it.
- The SUPPLIER sees only the report, and chooses how many lots to produce: 1, 2 or 3.
- Customer demand is drawn. Sales are the smaller of demand and production; unsold lots are wasted.
- Both of you then see everything — the TRUE demand type, the report, the production, the demand and both profits. It stays in your history for the rest of the game.

CUSTOMER DEMAND

Chance that customers want this many lots. You will see these on screen during the game.



PROFITS

Customers pay 3 per lot sold. The retailer pays the supplier 2 per lot. Each lot costs the supplier 1 to make, whether or not it sells.

Sales	= the smaller of customer demand and production
Retailer profit	= $(3 - 2) \times \text{Sales}$
Supplier profit	= $2 \times \text{Sales} - 1 \times \text{Production}$

Every possible outcome. Each cell reads Retailer profit / Supplier profit.

Customer demand	Produce 1	Produce 2	Produce 3
1 lot	1 / 1	1 / 0	1 / -1
2 lots	1 / 1	2 / 2	2 / 1
3 lots	1 / 1	2 / 2	3 / 3

Your grade depends on taking part, not on the profits you earn.